Our financial results for fiscal 2019 are presented in accordance with the new revenue standard that was adopted under the modified retrospective method at the beginning of fiscal 2019. Prior period results have not been restated which limits the comparability of our results of operations for fiscal 2019 when compared to the year-ago period. *See Note 2 of our Notes to Consolidated Financial Statements for information regarding adoption of the new revenue standard.*

*Financial Performance Summary for Fiscal 2019*

- Total Digital Media ARR of approximately $8.40 billion as of November 29, 2019 increased by $1.69 billion, or 25%, from $6.71 billion as of November 30, 2018. The change in our Digital Media ARR was primarily due to stronger new user adoption of our Creative Cloud and Adobe Document Cloud offerings.
- Creative revenue of $6.48 billion increased by $1.14 billion, or 21%, during fiscal 2019, from $5.34 billion in fiscal 2018. The increase was primarily due to the increase in subscription revenue associated with our Creative Cloud offerings.
- Digital Experience revenue of $3.21 billion increased by $762.4 million, or 31%, during fiscal 2019, from $2.44 billion in fiscal 2018. The increase was primarily due to the increase in subscription revenue driven by the addition of Marketo and Magento, which we acquired in the later part of fiscal 2018.
- Our total deferred revenue of $3.50 billion as of November 29, 2019 increased by $447.1 million, or 15%, from $3.05 billion as of November 30, 2018. The increase was primarily due to increases in new contracts and the timing of renewals for offerings with cloud-enabled services and hosted services.
- Cost of revenue of $1.67 billion increased by $477.7 million, or 40%, during fiscal 2019, from $1.19 billion in fiscal 2018. The increase was primarily due to increases in amortization of intangibles from our acquisition of Magento and Marketo in the later part of fiscal 2018. To a lesser extent, increases in hosting services and data center costs also contributed to the overall increase in cost of revenue.
- Operating expenses of $6.23 billion increased by $1.24 billion, or 25%, during fiscal 2019, from $4.99 billion in fiscal 2018. The increase was primarily due to increases in base compensation and related benefits costs and stock-based compensation expense associated with headcount growth, including additions from the acquisitions of Magento and Marketo in the later part of fiscal 2018. To a lesser extent, increases in marketing spend also contributed to the overall increase in operating expenses.
- Net income of $2.95 billion increased by $360.7 million, or 14%, during fiscal 2019 from $2.59 billion in fiscal 2018 primarily due to increases in revenue and offset in part by the increases in operating expenses and cost of revenue.
- Net cash flow from operations of $4.42 billion during fiscal 2019 increased by $392.5 million, or 10%, from $4.03 billion during fiscal 2018 primarily due to higher net income adjusted for the net effect of non-cash items. This increase was offset in part by comparatively lower increases in income taxes payable and higher increases in prepaid expenses and other assets.

**Revenue**

| *(dollars in millions)* | 2019 | 2018 | 2017 | % Change 2019-2018 |
|---|---|---|---|---|
| Subscription | $ 9,994.5 | $ 7,922.2 | $ 6,133.9 | 26% |
| Percentage of total revenue | 89% | 88% | 84% | |
| Product | 647.8 | 622.1 | 706.7 | 4% |
| Percentage of total revenue | 6% | 7% | 10% | |
| Services and support | 529.0 | 485.7 | 460.9 | 9% |
| Percentage of total revenue | 5% | 5% | 6% | |
| Total revenue | $ 11,171.3 | $ 9,030.0 | $ 7,301.5 | 24% |

*Subscription Revenue by Segment*

Our subscription revenue is comprised primarily of fees we charge for our subscription and hosted service offerings including Creative Cloud and certain of our Digital Experience and Document Cloud services. We recognize subscription revenue ratably over the term of agreements with our customers, beginning with commencement of service.

We have the following reportable segments: Digital Media, Digital Experience and Publishing. Subscription revenue by reportable segment for fiscal 2019, 2018 and 2017 is as follows:

| *(dollars in millions)* | 2019 | 2018 | 2017 | % Change 2019-2018 |
|---|---|---|---|---|
| Digital Media | $ 7,208.3 | $ 5,857.7 | $ 4,480.8 | 23% |
| Digital Experience | 2,670.7 | 1,949.3 | 1,552.5 | 37% |
| Publishing | 115.5 | 115.2 | 100.6 | * |
| Total subscription revenue | $ 9,994.5 | $ 7,922.2 | $ 6,133.9 | 26% |

(*) Percentage is less than 1%.

Our product revenue is primarily comprised of revenue from distinct on-premise software licenses recognized at a point in time and certain of our OEM and royalty agreements. Our services and support revenue is comprised of consulting, training and maintenance and support, primarily related to the licensing of our enterprise offerings and the sale of our hosted Digital Experience services. Our support revenue also includes technical support and developer support to partners and developer organizations related to our desktop products. Our maintenance and support offerings, which entitle customers to receive desktop product upgrades and enhancements or technical support, depending on the offering, are generally recognized ratably over the term of the arrangement.

*Segments*

In fiscal 2019, we categorized our products into the following reportable segments:

- *Digital Media*—Our Digital Media segment provides tools and solutions that enable individuals, teams and enterprises to create, publish, promote and monetize their digital content anywhere. Our customers include content creators, experience designers, app developers, enthusiasts, students, social media users and creative professionals, as well as marketing departments and agencies, companies and publishers. Our customers also include knowledge workers who create, collaborate on and distribute documents and creative content.

- *Digital Experience*—Our Digital Experience segment provides products, services and solutions for creating, managing, executing, measuring, monetizing and optimizing customer experiences from advertising to commerce. Our customers include marketers, advertisers, agencies, publishers, merchandisers, merchants, web analysts, data scientists, developers, marketing executives, information management and technology executives, product development executives, and sales and support executives.

- *Publishing*—Our Publishing segment addresses market opportunities ranging from the diverse authoring and publishing needs of technical and business publishing to our legacy type and OEM printing businesses. It also includes our web conferencing and document and forms platforms.

*Segment Information*

| *(dollars in millions)* | 2019 | 2018 | 2017 | % Change 2019-2018 |
|---|---|---|---|---|
| Digital Media | $ 7,707.0 | $ 6,325.3 | $ 5,010.6 | 22 % |
| Percentage of total revenue | 69% | 70% | 69% | |
| Digital Experience | 3,206.2 | 2,443.7 | 2,030.3 | 31 % |
| Percentage of total revenue | 29% | 27% | 28% | |
| Publishing | 258.1 | 261.0 | 260.6 | (1)% |
| Percentage of total revenue | 2% | 3% | 3% | |
| Total revenue | $ 11,171.3 | $ 9,030.0 | $ 7,301.5 | 24 % |

*Digital Media*

Revenue from Digital Media increased $1.38 billion during fiscal 2019 as compared to fiscal 2018, driven by increases in revenue associated with our Creative and Document Cloud offerings. Revenue associated with our Creative offerings, which includes our Creative Cloud, perpetually licensed Creative and stock photography offerings, increased during fiscal 2019. The increase was primarily due to an increase in subscription revenue across all of our Creative Cloud offerings driven by increases in net new subscriptions. Adobe Document Cloud revenue, which includes our Acrobat product family and Adobe Sign service, increased during fiscal 2019 as compared to fiscal 2018 primarily due to increases in subscription revenue driven by strong adoption of our Document Cloud.